

**Before the  
FEDERAL MARITIME COMMISSION**

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**Docket No. 2010(F)**

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**Simple Forwarding, Inc.**

**v.**

**China United Lines Ltd and Norton Lilly International**

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**ANSWER OF CHINA UNITED LINES LIMITED AND NORTON LILLY  
INTERNATIONAL TO AMENDED COMPLAINT OF SIMPLE FORWARDING**

Pursuant to the November 14, 2024 Order of the Administrative Law Judge Richard Ambrow, China United Lines Limited and Norton Lilly International, Inc (as complained, improperly, by Claimant) hereby respond to the Amended Verified Complaint (“Amended Complaint”) of Simple Forwarding, Inc. (“Simple Forwarding” or the “Claimant”).

## **I. Respondents Shall be Removed from the Complaint**

According to the Amended Complainant, as stated in its October 9, 2024 filing, the entity it intended to file its Amended Complaint against is China United Lines Limited (“CULL”) and Norton Lilly International, Inc (“NLI”). As an initial matter, NLI shall not be involved in this case, as NLI was acting as Agent for C.U.Lines Limited (“CUL”), a Hong Kong company separately incorporated from CULL which was (but no longer is) an ocean common carrier, in the United States of America during 2021. NLI has issued the invoice No. 06343720 to New Opportunities Trucking Inc, dated 7<sup>th</sup> November, 2021, on CUL’s behalf. However, the Claimant was neither the paying party or it failed to prove its relationship with the paying party, i.e. New Opportunities Trucking Inc.

Simple Forwarding is a total stranger to CULL. It is not in any respect a customer of CULL. Neither CULL nor NLI invoiced Simple Forwarding for any charges, including detention or demurrage. Simple Forwarding has never proffered any cargo to CULL or NLI, nor has it never paid any charges to CULL or NLI. The Amended Complaint does not aver otherwise.

The shipment referred to in the Amended Complaint was not a Simple Forwarding shipment. The shipper for that cargo was World Trade Shipping Limited. The invoice at issue was not paid to NLI by Simple Forwarding, but rather by New Opportunities Trucking, Inc.

Hence, both CULL and NLI shall be removed from the Complaint.

## **II. Complainant Fails to Prove a Violation**

It is of course Claimant’s burden of proof to demonstrate that CULL committed a violation of the Shipping Act. In any proceeding under Shipping Act, the burden of proof is on the proponent. *Interpretative Rule On Demurrage and Detention Under the Shipping Act*, 2019

WL 5781054, at \*3 (citing 5 U.S.C. §556(d); 46 C.F.R. §502.155)(“In all cases, as prescribed by the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof shall be on the proponent of the rule or order.”); see also, e.g., *Kobel v. Hapag-Lloyd A.G.*, 33 S.R.R. 594, 597 (ALJ 2014). It has made no effort to do so.

The Commission has adopted a framework for deciding when an assessment of detention or demurrage charges violates 46 U.S.C. 41102(c). Under that framework, the FMC looks at individual shipments and individual days to determine whether, for a particular shipment, the ocean common carrier has charged detention or demurrage for a specific date on which the party assessed the charge could not pick up a full container or return an empty container. For example, if a consignee returns an empty container 10 days late (after free time has expired), the Commission will look at each day for which detention was charged and determine whether a charge for that day was improper because the consignee could not return the container for reasons outside its control (such as weekend or holiday facility closures, lack of appointments, etc.). That, in a nutshell, is exactly what the Commission did in *TCW, INC. v. Evergreen Line Joint Service Agreement*, Docket 1966(I), 3 FMC 2d 1 (S.O. 2021), *aff’d* 5 FMC 2d 192 (FMC 2022), where it ordered the ocean carrier to refund charges only for the specific days on which return was impossible.

Likewise, In *Hapag-Lloyd, A.G. -- Possible Violations of 46 U.S.C. § 41102(c)*, 4 F.M.C. 2d 53, 94 (I.D. 2022), Chief Administrative Law Judge Wirth found it necessary to look at the alleged violations of the Shipping Act on a container-by-container **and** day-by-day basis and concluded that “BOE did not establish a violation for all eleven shipments or for all days of detention.” Accordingly, she found violations of 46 U.S.C. 41102(c) only for some shipments for some days. More recently, Chief Judge Wirth stated that an allegation of a violation of 46 U.S.C. 41102(c) concerning multiple shipments made it “likely that [complainant] would need to

establish an inability to return each container.” *Access One v. Cosco*, 2024 WL 2976551, at \*6 (Order Denying Partial Motion to Dismiss, June 4, 2024). This is of course the usual method the FMC uses for determining violations which relate to what the respondent did with respect to individual shipments. *See Anderson International Transport – Possible Violations*, 32 S.R.R. 1678 (FMC 2013) (shipment-by-shipment review of whether respondent violated Shipping Act by acting as an unauthorized NVOCC).

Proof of a Shipping Act violation has been made even more complicated, and even more fact specific, by the D.C. Circuit’s recent *vacatur* of the FMC decision in *TCW*, cited above. *See Evergreen Shipping Agency (America) v. Federal Maritime Commission*, 106 F.4th 1113 (D.C.Cir. 2024). Under that decision, a complainant must prove **not only** that, for a specific shipment, it was unable to pick up or return on a specific day for reasons beyond its control, **but also** that imposition of charges by the ocean common carrier was, in the specific circumstances, contrary to the incentive principle – that is, the charges could not have incentivized faster return of a container. More specifically, the court held that the Commission may not assume that a charge for days when a facility was closed is inconsistent with the incentive principle, as it could well incentivize even earlier return, before the closure.

Claimant’s showing, if one can call it that, does not come near meeting the burden of proof even before the D.C. Circuit decision, much less today. Claimant does not identify the specific shipment(s) as to which it claims as a violation. Nor does it identify the date(s) on which charges were assessed and as to which violations are claimed. Moreover, it does not present any evidence that, with respect to the unidentified shipment(s) and unidentified date(s) it was unable to return the relevant containers. Rather, it asserts that CULL has such evidence. It must be obvious that an adjudicatory tribunal may not make a decision based on evidence that is not actually presented to the tribunal, but only said to exist somewhere. And just as obviously,

Claimant has presented nothing to prove the new elements required by the D.C. Circuit.

Accordingly, the claim made by Claimant should be dismissed for failure of proof.

### **III. Claimant is not Entitled to Pursue Reparations**

#### **A. Only a “Direct Purchaser” May Seek Reparations**

Although any "person" may file a complaint alleging a violation of the Shipping Act of 1984, 46 U.S.C. § 41301(a), only those that suffer "actual injury" *as a result* of the violation are entitled to seek reparations. 46 U.S.C. § 41305(b). Longstanding interpretation of the Shipping Act has been that, where the claims are based on unreasonable or excessive charges, as they are here, only the entities that purchased the relevant services *directly* from the ocean common carrier (“direct purchasers” or “first purchasers”) have suffered the "actual injury" that confers standing to seek reparations. See, e.g., *Intermodal Motor Carriers Conference v. OCEMA*, 2024 WL 641501 (F.M.C.) (FMC 2024); *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 (F.M.C.) (FMC 2022); *In re Vehicle Carrier Services*, 1 FMC 2d 440 (FMC 2019); *Gov't of Guam v. Sea Land Serv., Inc.*, 29 S.R.R. 894 (ALJ, Admin. Final 2002).

As the Commission explained in OCEMA: “For the past 90 years, the Commission and its predecessor agencies have followed Supreme Court precedent in applying what has become known 14 as the ‘direct purchaser rule.’ . . . [T]he direct purchaser rule deems the person that paid illegal overcharges (or directly sustained them) as the only person ‘directly damaged,’ regardless of what may have occurred later.” 2024 WL 641501, at \*44. Likewise, in *TCW* the Commission stated, citing to *In re Vehicle Carrier Services* and *Gov't of Guam v. Sea Land*: “Under the direct purchaser rule, only the party who actually paid the carrier can sue for reparations for an overcharge, not indirect purchasers further down the chain.....Under the direct purchaser rule, ‘parties suing for alleged overcharges can only recover reparations if they actually paid the carrier

or received an assignment from the direct purchaser.” 2022 WL 18068977, at \*7 The Commission's application of the "direct purchaser" standing rule has roots over a century old. In *Southern Pacific Co v. Damell-Taenzer Lumber Co.*, 245 U.S. 531 (1918), a case involving reparations ordered by the Interstate Commerce Commission, the Supreme Court explained that the injury, and thus the relief, belonged solely to the party that actually paid the carrier. This rule was imported into the Shipping Act in 1934. *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B.B. 308, 310-311 (1934).<sup>1</sup> There, the FMC held that the bankrupt direct payor complainant, not the trustee in the complainant's later-filed bankruptcy, was the only proper party at interest. Its holding explicitly relied on *Southern Pacific* in concluding that the Shipping Act "authorizes an award of reparations to the party injured," that the complainant "was injured the moment he paid the charges and was the person directly damaged by the collection of the illegal rates[.]" The direct purchaser rule applies even where the complainant is an affiliate or parent of the entity that actually paid the carrier.<sup>2</sup>

The Commission's "direct purchaser" rule is similar to that applied by the United States federal courts with respect to the federal antitrust laws. As the Commission recently stated: "The Commission's rule is consistent with the Supreme Court's direct purchaser rule developed in *Illinois Brick v. Illinois*, 421 U.S. 720 (1977)." TCW, 2022 WL 18068977, at \*8.

## **B. Claimant is not a "Direct Purchaser"**

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<sup>1</sup> Following *Oakland Motor Car*, the Commission consistently has continued to apply the "direct purchaser" standing rule for reparations complaints. For example, *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Admin. Final 1979), holds that "the law in complaint cases involving alleged overcharges ... is that the person who paid the freight to the carrier has standing to recover reparation for injury, not a secondary party, even if the latter party ultimately bore the cost of the overcharge." To like effect, see, e.g., *California Cartage Co. v. Pacific Maritime Association*, 23 S.R.R. 420, 427 (FMC 1985); *Trane Co. v. South African Marine*, 19 FMC 375, 378, n.9 & accompanying text (Init. Dec., adopted 1976); *Carton-Print, Inc. v. Austasia Container Express*, 20 FMC 31, 34 (Init. Dec., Admin. Final 1977); *3M v. Hapag-Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981); *FMC Corp. v. Argentine Line*, 19 S.R.R. 1940, 1491 (Settle. Off. 1980).

<sup>2</sup> See, e.g., *Stauffer Chem. Europe S.A. v. NYK Line*, 27 S.R.R. 417,419 n.2 (FMC 1995) (holding that "the Commission has ruled that an overcharge case complainant, not merely its corporate affiliate, parent, or subsidiary, must produce evidence that it has either paid the freight or has validly succeeded to the claim"); *Procter & Gamble Mfg. Co. v. Lykes Bros. SS. Co.*, 25 S.R.R. 1370, 1371 (Settle. Off. 1991) (holding that parent company of "direct purchaser" shipper was ineligible to file claim for reparations because subsidiary, not, not parent, "paid the applicable charges and suffered any injury that might have resulted therefrom")

Claimant seeks reparations relating to alleged (but unspecified) charges, even though: (1) Claimant did not have a service contract with CULL or NLI; (2) Claimant did not appear as a shipper or consignee on any CULL bill of lading; (3) CULL and NLI did not invoice charges to Claimant; and (4) Claimant did not directly pay any charges to CULL or NLI, but rather, these charges were paid directly to NLI by New Opportunities Trucking, Inc. These facts, especially Fact 4, demonstrate conclusively that Complainant is not a direct purchaser and may not seek reparations.

The Amended Complaint does not state that Claimant was a direct purchaser; nor does it allege that Claimant paid any of the challenged charges directly to CULL or NLI. Indeed, even in its Response to the Motion to Dismiss, Claimant did not suggest that it was a direct purchaser, but instead argued that it was entitled to pursue reparations even though it *was not* the direct purchaser. Claimant's argument in this regard badly misrepresented the Commission cases it discussed.

Claimant first addressed *In Re: [Vehicle] Carrier Services*, 2019 WL 5419475, (FMC Oct. 21, 2019). There, the Commission held that various entities that had filed separate Complaints were not direct purchasers because they “did not allege that they directly purchased services from Respondents.” *Id.* at \*7. It found other complainants to be direct purchasers not, as claimant says, because they were ocean transportation intermediaries, but because they alleged that “*they paid Respondents directly for vehicle carrier service.*” *Id.* at \* 3 (emphasis added).<sup>3</sup> *In Re: [Vehicle] Carrier Services* thus squarely establishes that, regardless of the status of the complainant as an OTI or otherwise, it *may not* pursue reparations *unless it actually paid the charges directly* to the carrier. Claimant here does not (and could not) allege that Complainant made any payments at all

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<sup>3</sup> Complainant mischaracterizes the group that was found to be first purchasers as including manufacturers. It did not; rather, the members were all NVOCCs.

to CULL or NLI, much less directly. Indeed, the House BOL (Complainant's Exhibit A) prove that Complainant had no relationship to CULL or NLI. The House Bill of Lading demonstrates beyond peradventure that Complainant's relationship was only with its chosen NVOCC.<sup>4</sup>

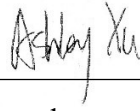
In *Visual Comfort & Co., v. Cosco Shipping Lines Co. Ltd.*, Docket No. 24-01 (ALJ 2024), the Presiding Officer allowed VCC to continue as complainant not because it was a direct purchaser, which it was not, but because VCC had obtained an assignment of claims from the actual direct purchaser, so VCC is now pursuing the **assignor's** claims for reparations, not its own. Claimant does not allege, much less prove, that it has an assignment of claims from the entity that paid CULL or NLI directly.

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<sup>4</sup> This bill of lading thus proves false Complainant's statement that "Complainant is a Shipper as defined by 46 U.S.C. Section 40102(23), the Consignee on the Master Bill of Lading, and additionally is the OTI for this shipment, and is the party responsible for the disputed charges." Complainant is not a shipper, as it is not designated as either the shipper or the consignee on the Master Bill of Lading (only the House Bill of Lading). Nor could Complainant possibly be the OTI for that shipment, as an NVOCC would have to be shown as shipper on the Master BOL and ocean freight forwarders by definition function as such only in the export trade. Given these relationships, there is no plausible basis for the canard that Complainant was responsible to CUL for the disputed charges.

Dated December 11,  
2024

Respectfully submitted,



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Respondent

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**VERIFICATION**

I declare under penalty of perjury that the facts stated in the foregoing Answer to Amended Complaint are true and correct as of the date stated below to the best of my knowledge.

For China United Lines Limited:

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**CERTIFICATE OF SERVICE**

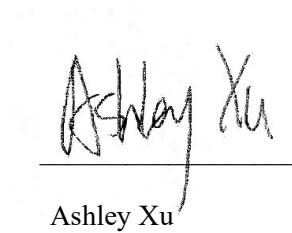
I certify that on December 16th, 2024, a true and correct copy of the foregoing was filed via electronic mail with the Federal Maritime Commission and the following known parties of record for the Claimant and Respondents in accordance with [46 C.F.R. § 502.320](#).

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A handwritten signature in black ink, appearing to read "Ashley Xu", is written over a horizontal line.

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